



**Office of Public Affairs**  
U.S. Department of Justice



# Wound Graft Company Owners Sentenced for \$1.2B Health Care Fraud and Agree to Pay \$309M to Resolve Civil Liability Under the False Claims Act



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**For Immediate Release**

Office of Public Affairs

In the first prosecution of its kind, the owners of several Arizona wound graft companies were sentenced to significant terms of incarceration for causing over \$1.2 billion of false and fraudulent claims to be submitted to Medicare and other health insurance programs for medically unnecessary wound grafts that were ordered as a result of illegal kickbacks and applied to elderly and terminally ill patients. On Oct. 7 Alexandra Gehrke was sentenced to 15.5 years in prison, and on Oct. 10 her husband, Jeffrey King, was sentenced to 14 years in prison.

According to court documents, Gehrke, 39, and King, 46, both of Phoenix, orchestrated a large-scale wound-care scheme from 2022 through 2024. Gehrke solely owned and operated two companies that contracted with medically untrained “sales representatives” to find elderly Medicare beneficiaries throughout Arizona with wounds of any kind. Once the sales representatives identified these patients, many of whom were in hospice care, Gehrke directed the sales representatives to order expensive bioengineered skin substitutes — amniotic membrane allografts made from human placental tissue — to be placed on the wounds. To maximize profits, Gehrke required the sales representatives to order only the largest sizes of grafts available, even if the sizes of grafts — or the use of grafts as treatment — were not medically appropriate or reasonable.

Gehrke referred the patients identified by the sales representatives first to a company she owned, and later in the scheme to a company co-owned by King. Both of these companies were enrolled as Medicare providers and could submit claims to Medicare. Through these companies, Gehrke and King purchased the grafts from a wholesale graft distributor. They also contracted with nurse practitioners to apply the grafts and billed Medicare and other health insurers for the grafts applied. Gehrke and King instructed the nurse practitioners to suspend their medical judgment and apply whatever quantities and

sizes of grafts were ordered by the medically untrained sales representatives, regardless of medical necessity.

Gehrke, through the three companies she owned, received over \$279 million in illegal kickbacks from the wholesale graft distributor in exchange for ordering its grafts, over \$100 million of which she diverted to her personal accounts and tens of millions of which she used to pay illegal kickbacks to the sales representatives. The company co-owned by King received an additional \$130 million in illegal kickbacks from the same graft distributor.

The financial incentive for the sales representatives to order large numbers and sizes of allografts, combined with Gehrke and King's requirement that nurse practitioners apply all grafts ordered, resulted in large grafts applied to small wounds, several grafts applied to single wounds, grafts applied to non-existent wounds and grafts applied to terminally ill patients receiving palliative care, some of whom died within days or the same day of the allograft application.

Over the course of just 18 months, from November 2022 through May 2024, Gehrke, King and their co-conspirators submitted approximately \$1,212,005,778 in false and fraudulent claims to health insurance programs, including over \$960 million to the federal health care programs Medicare, TRICARE (the health care program for U.S. service members and their families) and CHAMPVA (the health care program for spouses and children of permanently disabled veterans). The federal and commercial health care programs collectively paid \$614,945,420 based on these claims.

The government seized substantial assets that Gehrke and King accumulated from the scheme, including \$97 million from 28 bank accounts at seven financial institutions; three life insurance annuities exceeding \$21 million; four luxury vehicles — a Ferrari 488 Spider convertible, a Mercedes-Benz AMG Roadster, a Mercedes-Benz 4x4 Squared G-Wagon and a Mercedes-Benz GLE — collectively purchased for over \$988,000; \$367,150 in cash recovered from Gehrke and King's home and safe deposit boxes and over \$348,000 worth of gold and silver bars and coins.

Gehrke and King [pleaded guilty](#) to conspiracy to commit health care fraud and wire fraud on Oct. 24, 2024, and Jan. 31, 2025, respectively. In addition to the terms of incarceration, Gehrke and King were ordered to pay restitution and to forfeit fraudulent proceeds obtained personally and through companies they owned and controlled. Gehrke was ordered to pay \$614,945,420 in restitution and to forfeit \$279,912,916 in fraudulent proceeds, and King was ordered to pay \$605,690,110 in restitution and to forfeit \$130,813,658 in fraudulent proceeds.

In addition to the criminal case, Gehrke and the wound graft marketing company she owned, Apex Medical LLC, agreed to pay \$279,912,916, and King agreed to pay \$30 million, related to their respective civil liability under the False Claims Act, resolving allegations that they knowingly submitted false claims to Medicare and other federal health care programs for medically unnecessary wound allografts, received illegal kickbacks from a wholesale wound allograft distributor in exchange for orders, purchases, and referrals and paid illegal kickbacks to other parties.

The Federal Anti-Kickback Statute prohibits offering or paying anything of value to induce referrals of items or services covered by Medicare and other federally funded programs. The statute is intended to

ensure that the judgment of medical providers is not compromised by improper financial incentives.

The False Claims Act allegations resolved by the civil settlements were originally brought by whistleblowers under the qui tam provisions of the False Claims Act, which allow private parties to bring suit on behalf of the government and to share in any recovery. The matters remain under seal while the investigation of other parties continues. The amount of the whistleblower shares of the settlements has not yet been determined.

The FBI, HHS-OIG, Department of Defense Office of Inspector General, Defense Criminal Investigative Service and Department of Veterans Affairs Office of Inspector General investigated the criminal case. The civil resolutions were the result of a coordinated effort between the Justice Department’s Civil Division, Commercial Litigation Branch, Fraud Section and the U.S. Attorney’s Office for the District of Arizona, with assistance from HHS-OIG.

Trial Attorney Shane Butland of the National Rapid Response Strike Force of the Criminal Division’s Fraud Section and Assistant U.S. Attorney Matthew Williams for the District of Arizona are prosecuting the case. Assistant U.S. Attorney Joseph Bozdech for the District of Arizona is handling asset forfeiture. The civil False Claims Act investigation was handled by Trial Attorney Vanessa Reed of the Civil Division and Assistant U.S. Attorney Lon Leavitt for the District of Arizona.

The Fraud Section leads the Criminal Division’s efforts to combat health care fraud through the Health Care Fraud Strike Force Program. Since March 2007, this program, currently comprised of 9 strike forces operating in 27 federal districts, has charged more than 5,800 defendants who collectively have billed federal health care programs and private insurers more than \$30 billion. In addition, the Centers for Medicare & Medicaid Services, working in conjunction with the Office of the Inspector General for the Department of Health and Human Services, are taking steps to hold providers accountable for their involvement in health care fraud schemes. More information can be found at [www.justice.gov/criminal-fraud/health-care-fraud-unit](http://www.justice.gov/criminal-fraud/health-care-fraud-unit).

The investigation and resolution of this matter illustrates the government’s emphasis on combating health care fraud. One of the most powerful tools in this effort is the False Claims Act. Tips and complaints from all sources about potential fraud, waste, abuse and mismanagement can be reported to HHS at 800-HHS-TIPS (800-447-8477).

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**Topic**

**HEALTHCARE FRAUD**

**Components**

Press Release Number: 25-1172

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